

Unit III

ORGANISING

Organizing is the function of **management** that involves developing an organizational structure and allocating human resources to ensure the accomplishment of objectives. The structure of the organization is the framework within which effort is coordinated.

Organising is the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing objectives.

Organising is that managerial process which seeks to define the role of each individual (manager and operator) towards the attainment of enterprise objectives

Organising is that managerial process which seeks to define the role of each individual (manager and operator) towards the attainment of enterprise objectives; with due regard to establishing authority-responsibility relationships among all; and providing for co-ordination in the enterprise-as an in-built device for obtaining harmonious groups action.

Organizing is the function of management which follows planning. It is a function in which the synchronization and combination of human, physical and financial resources takes place. All the three resources are important to get results. Therefore, organizational function helps in achievement of results which in fact is important for the functioning of a concern.

Definition

“Organising is the establishment of authority relationships with provisions for co-ordination between them, both vertically and horizontally in the enterprise structure”. -Koontz and O'Donnell

“Organising is the process of identifying and grouping the work to be performed, defining and delegating the responsibility and authority and establishing a pattern of relationship for the purpose of enabling people work most effectively to accomplish the objective”. – Louis A. Allen.

According to *Chester Barnard*, “Organizing is a function by which the concern is able to define the role positions, the jobs related and the co-ordination between authority and responsibility. Hence, a manager always has to organize in order to get results.

Importance of Organizing Function

1. **Specialization** - Organizational structure is a network of relationships in which the work is divided into units and departments. This division of work is helping in bringing specialization in various activities of concern.
2. **Well defined jobs** - Organizational structure helps in putting right men on right job which can be done by selecting people for various departments according to their qualifications, skill and experience. This is helping in defining the jobs properly which clarifies the role of every person.
3. **Clarifies authority** - Organizational structure helps in clarifying the role positions to every manager (status quo). This can be done by clarifying the powers to every manager and the way he has to exercise those powers should be clarified so that misuse of powers do not take place. Well defined jobs and responsibilities attached helps in bringing efficiency into managers working. This helps in increasing productivity.

4. **Co-ordination** - Organization is a means of creating co-ordination among different departments of the enterprise. It creates clear cut relationships among positions and ensure mutual co-operation among individuals. Harmony of work is brought by higher level managers exercising their authority over interconnected activities of lower level manager.

Authority responsibility relationships can be fruitful only when there is a formal relationship between the two. For smooth running of an organization, the co-ordination between authority- responsibility is very important. There should be co-ordination between different relationships. Clarity should be made for having an ultimate responsibility attached to every authority. There is a saying, "Authority without responsibility leads to ineffective behaviour and responsibility without authority makes person ineffective." Therefore, co-ordination of authority- responsibility is very important.

5. **Effective administration** - The organization structure is helpful in defining the jobs positions. The roles to be performed by different managers are clarified. Specialization is achieved through division of work. This all leads to efficient and effective administration.

6. **Growth and diversification** - A company's growth is totally dependant on how efficiently and smoothly a concern works. Efficiency can be brought about by clarifying the role positions to the managers, co-ordination between authority and responsibility and concentrating on specialization. In addition to this, a company can diversify if its potential grow. This is possible only when the organization structure is well- defined. This is possible through a set of formal structure.

7. **Sense of security** - Organizational structure clarifies the job positions. The roles assigned to every manager is clear. Co-ordination is possible. Therefore, clarity of powers helps automatically in increasing mental satisfaction and thereby a sense of security in a concern. This is very important for job-satisfaction.

8. **Scope for new changes** - Where the roles and activities to be performed are clear and every person gets independence in his working, this provides enough space to a manager to develop his talents and flourish his knowledge. A manager gets ready for taking independent decisions which can be a road or path to adoption of new techniques of production. This scope for bringing new changes into the running of an enterprise is possible only through a set of organizational structure.

Principles of Organizing

The organizing process can be done efficiently if the managers have certain guidelines so that they can take decisions and can act. To organize in an effective manner, the following principles of organization can be used by a manager.

1. Principle of Specialization

According to the principle, the whole work of a concern should be divided amongst the subordinates on the basis of qualifications, abilities and skills. It is through division of work specialization can be achieved which results in effective organization.

2. Principle of Functional Definition

According to this principle, all the functions in a concern should be completely and clearly defined to the managers and subordinates. This can be done by clearly defining the duties, responsibilities, authority and relationships of people towards each other. Clarifications in authority-responsibility relationships helps in achieving co-ordination and thereby organization can take place effectively. For example, the primary functions of production, marketing and finance and the authority responsibility relationships in

these departments should be clearly defined to every person attached to that department. Clarification in the authority-responsibility relationship helps in efficient organization.

3. Principles of Span of Control/Supervision

According to this principle, span of control is a span of supervision which depicts the number of employees that can be handled and controlled effectively by a single manager. According to this principle, a manager should be able to handle what number of employees under him should be decided. This decision can be taken by choosing either from a wide or narrow span. There are two types of span of control:-

a. **Wide span of control**- It is one in which a manager can supervise and control effectively a large group of persons at one time. The features of this span are:-

- i. Less overhead cost of supervision
- ii. Prompt response from the employees
- iii. Better communication
- iv. Better supervision
- v. Better co-ordination
- vi. Suitable for repetitive jobs

According to this span, one manager can effectively and efficiently handle a large number of subordinates at one time.

b. **Narrow span of control**- According to this span, the work and authority is divided amongst many subordinates and a manager doesn't supervise and control a very big group of people under him. The manager according to a narrow span supervises a selected number of employees at one time. The features are:-

- i. Work which requires tight control and supervision, for example, handicrafts, ivory work, etc. which requires craftsmanship, there narrow span is more helpful.
- ii. Co-ordination is difficult to be achieved.
- iii. Communication gaps can come.
- iv. Messages can be distorted.
- v. Specialization work can be achieved.

Factors influencing Span of Control

1. **Managerial abilities**- In the concerns where managers are capable, qualified and experienced, wide span of control is always helpful.

2. **Competence of subordinates**- Where the subordinates are capable and competent and their understanding levels are proper, the subordinates tend to very frequently visit the superiors for solving their problems. In such cases, the manager can handle large number of employees. Hence wide span is suitable.

3. **Nature of work**- If the work is of repetitive nature, wide span of supervision is more helpful. On the other hand, if work requires mental skill or craftsmanship, tight control and supervision is required in which narrow span is more helpful.

4. **Delegation of authority**- When the work is delegated to lower levels in an efficient and proper way, confusions are less and congeniality of the environment can be maintained. In such cases, wide span of

control is suitable and the supervisors can manage and control large number of sub-ordinates at one time.

5. **Degree of decentralization**- Decentralization is done in order to achieve specialization in which authority is shared by many people and managers at different levels. In such cases, a tall structure is helpful. There are certain concerns where decentralization is done in very effective way which results in direct and personal communication between superiors and sub-ordinates and there the superiors can manage large number of subordinates very easily. In such cases, wide span again helps.

4. Principle of Scalar Chain

Scalar chain is a chain of command or authority which flows from top to bottom. With a chain of authority available, wastages of resources are minimized, communication is affected, overlapping of work is avoided and easy organization takes place. A scalar chain of command facilitates work flow in an organization which helps in achievement of effective results. As the authority flows from top to bottom, it clarifies the authority positions to managers at all level and that facilitates effective organization.

5. Principle of Unity of Command

It implies one subordinate-one superior relationship. Every subordinate is answerable and accountable to one boss at one time. This helps in avoiding communication gaps and feedback and response is prompt. Unity of command also helps in effective combination of resources, that is, physical, financial resources which helps in easy co-ordination and, therefore, effective organization.

Authority Flows from Top to Bottom

Managing Director



Marketing Manager



Sales/ Media Manager



Salesmen

According to the above diagram, the Managing Director has got the highest level of authority. This authority is shared by the Marketing Manager who shares his authority with the Sales Manager. From this chain of hierarchy, the official chain of communication becomes clear which is helpful in achievement of results and which provides stability to a concern. This scalar chain of command always flow from top to bottom and it defines the authority positions of different managers at different levels.

The Organization Process Chart

Following is a representation of organization process chart.

A well-defined organizing process leads to improved communication, transparency and efficiency in the organization.



Classification of Organizations

Organizations are basically classified on the basis of relationships. There are two types of organizations formed on the basis of relationships in an organization

1. **Formal Organization** - This is one which refers to a structure of well defined jobs each bearing a measure of authority and responsibility. It is a conscious determination by which people accomplish goals by adhering to the norms laid down by the structure. This kind of organization is an arbitrary set up in which each person is responsible for his performance. Formal organization has a formal set up to achieve pre- determined goals.
2. **Informal Organization** - It refers to a network of personal and social relationships which spontaneously originates within the formal set up. Informal organizations develop relationships which are built on likes, dislikes, feelings and emotions. Therefore, the network of social groups based on friendships can be called as informal organizations. There is no conscious effort made to have informal organization. It emerges from the formal organization and it is not based on any rules and regulations as in case of formal organization.

Relationship between Formal and Informal Organizations

For a concerns working both formal and informal organization are important. Formal organization originates from the set organizational structure and informal organization originates from formal organization. For an efficient organization, both formal and informal organizations are required. They are the two phase of a same concern.

Formal organization can work independently. But informal organization depends totally upon the formal organization.

Formal and informal organization helps in bringing efficient working organization and smoothness in a concern. Within the formal organization, the members undertake the assigned duties in co-operation with each other. They interact and communicate amongst themselves. Therefore, both formal and informal organizations are important. When several people work together for achievement of organizational goals, social tie ups tends to built and therefore informal organization helps to secure co-operation by which goals can be achieved smooth. Therefore, we can say that informal organization emerges from formal organization.

LINE ORGANIZATION

Line organization is the most oldest and simplest method of administrative organization. According to this type of organization, the authority flows from top to bottom in a concern. The line of command is carried out from top to bottom. This is the reason for calling this organization as scalar organization which means scalar chain of command is a part and parcel of this type of administrative organization. In this type of organization, the line of command flows on an even basis without any gaps in communication and co-ordination taking place.

Features of Line Organization

1. It is the most simplest form of organization.
2. Line of authority flows from top to bottom.
3. Specialized and supportive services do not take place in these organization.
4. Unified control by the line officers can be maintained since they can independently take decisions in their areas and spheres.
5. This kind of organization always helps in bringing efficiency in communication and bringing stability to a concern.

Merits of Line Organization

1. **Simplest**- It is the most simple and oldest method of administration.
2. **Unity of Command**- In these organizations, superior-subordinate relationship is maintained and scalar chain of command flows from top to bottom.
3. **Better discipline**- The control is unified and concentrates on one person and therefore, he can independently make decisions of his own. Unified control ensures better discipline.
4. **Fixed responsibility**- In this type of organization, every line executive has got fixed authority, power and fixed responsibility attached to every authority.
5. **Flexibility**- There is a co-ordination between the top most authority and bottom line authority. Since the authority relationships are clear, line officials are independent and can flexibly take the decision. This flexibility gives satisfaction of line executives.
6. **Prompt decision**- Due to the factors of fixed responsibility and unity of command, the officials can take prompt decision.

Demerits of Line Organization

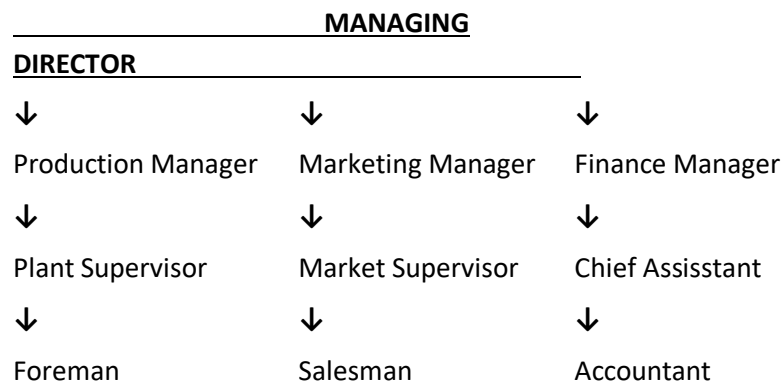
1. **Over reliance**- The line executive's decisions are implemented to the bottom. This results in over-relying on the line officials.
2. **Lack of specialization**- A line organization flows in a scalar chain from top to bottom and there is no scope for specialized functions. For example, expert advices whatever decisions are taken by line managers are implemented in the same way.
3. **Inadequate communication**- The policies and strategies which are framed by the top authority are carried out in the same way. This leaves no scope for communication from the other end. The complaints and suggestions of lower authority are not communicated back to the top authority. So there is one way communication.

4. **Lack of Co-ordination-** Whatever decisions are taken by the line officials, in certain situations wrong decisions, are carried down and implemented in the same way. Therefore, the degree of effective co-ordination is less.

5. **Authority leadership-** The line officials have tendency to misuse their authority positions. This leads to autocratic leadership and monopoly in the concern.

Line and Staff Organization

Line and staff organization is a modification of line organization and it is more complex than line organization. According to this administrative organization, specialized and supportive activities are attached to the line of command by appointing staff supervisors and staff specialists who are attached to the line authority. The power of command always remains with the line executives and staff supervisors guide, advice and council the line executives. Personal Secretary to the Managing Director is a staff official.



Features of Line and Staff Organization

1. There are two types of staff :
 - a. Staff Assistants- P.A. to Managing Director, Secretary to Marketing Manager.
 - b. Staff Supervisor- Operation Control Manager, Quality Controller, PRO
2. Line and Staff Organization is a compromise of line organization. It is more complex than line concern.
3. Division of work and specialization takes place in line and staff organization.
4. The whole organization is divided into different functional areas to which staff specialists are attached.
5. Efficiency can be achieved through the features of specialization.
6. There are two lines of authority which flow at one time in a concern :
 - a. Line Authority
 - b. Staff Authority
7. Power of command remains with the line executive and staff serves only as counselors.

Merits of Line and Staff Organization

1. **Relief to line of executives-** In a line and staff organization, the advice and counseling which is provided to the line executives divides the work between the two. The line executive can concentrate on the execution of plans and they get relieved of dividing their attention to many areas.

2. **Expert advice-** The line and staff organization facilitates expert advice to the line executive at the time of need. The planning and investigation which is related to different matters can be done by the staff specialist and line officers can concentrate on execution of plans.
3. **Benefit of Specialization-** Line and staff through division of whole concern into two types of authority divides the enterprise into parts and functional areas. This way every officer or official can concentrate in its own area.
4. **Better co-ordination-** Line and staff organization through specialization is able to provide better decision making and concentration remains in few hands. This feature helps in bringing co-ordination in work as every official is concentrating in their own area.
5. **Benefits of Research and Development-** Through the advice of specialized staff, the line executives, the line executives get time to execute plans by taking productive decisions which are helpful for a concern. This gives a wide scope to the line executive to bring innovations and go for research work in those areas. This is possible due to the presence of staff specialists.
6. **Training-** Due to the presence of staff specialists and their expert advice serves as ground for training to line officials. Line executives can give due concentration to their decision making. This in itself is a training ground for them.
7. **Balanced decisions-** The factor of specialization which is achieved by line staff helps in bringing co-ordination. This relationship automatically ends up the line official to take better and balanced decision.
8. **Unity of action-** Unity of action is a result of unified control. Control and its effectivity take place when co-ordination is present in the concern. In the line and staff authority all the officials have got independence to make decisions. This serves as effective control in the whole enterprise.

Demerits of Line and Staff Organization

1. **Lack of understanding-** In a line and staff organization, there are two authority flowing at one time. This results in the confusion between the two. As a result, the workers are not able to understand as to who is their commanding authority. Hence the problem of understanding can be a hurdle in effective running.
2. **Lack of sound advice-** The line official get used to the expertise advice of the staff. At times the staff specialist also provide wrong decisions which the line executive have to consider. This can affect the efficient running of the enterprise.
3. **Line and staff conflicts-** Line and staff are two authorities which are flowing at the same time. The factors of designations, status influence sentiments which are related to their relation, can pose a distress on the minds of the employees. This leads to minimizing of co-ordination which hampers a concern's working.
4. **Costly-** In line and staff concern, the concerns have to maintain the high remuneration of staff specialist. This proves to be costly for a concern with limited finance.
5. **Assumption of authority-** The power of concern is with the line official but the staff dislikes it as they are the one more in mental work.
6. **Staff steals the show-** In a line and staff concern, the higher returns are considered to be a product of staff advice and counseling. The line officials feel dissatisfied and a feeling of distress enters a concern. The satisfaction of line officials is very important for effective results.

DELEGATION OF AUTHORITY

A manager alone cannot perform all the tasks assigned to him. In order to meet the targets, the manager should delegate authority. Delegation of Authority means division of authority and powers downwards to the subordinate. Delegation is about entrusting someone else to do parts of your job. Delegation of authority can be defined as subdivision and sub-allocation of powers to the subordinates in order to achieve effective results.

Delegation is the assignment of authority to another person (normally from a manager to a subordinate) to carry out specific activities. It is the process of distributing and entrusting work to another person. **Delegation** is one of the core concepts of **management** leadership.

Delegation means devolution of authority on subordinates to make them to perform the assigned duties or tasks. It is that part of the process of organization by which managers make it possible for others to share the work of accomplishing organizational objectives.

Delegation consists of granting authority or the right to decision-making in certain defined areas and charging the subordinate with responsibility for carrying through the assigned tasks.

Delegation refers to the assignment of work to others and confer them the requisite authority to accomplish the job assigned.

Through delegation, a manager is able to divide the work and allocate it to the subordinates. This helps in reducing his work load so that he can work on important areas such as - planning, business analysis etc. Through delegating powers, the subordinates get a feeling of importance.

Elements of Delegation

1. **Authority** - in context of a business organization, authority can be defined as the power and right of a person to use and allocate the resources efficiently, to take decisions and to give orders so as to achieve the organizational objectives. Authority must be well- defined. All people who have the authority should know what is the scope of their authority is and they shouldn't misutilize it. Authority is the right to give commands, orders and get the things done. The top level management has greatest authority.

Authority always flows from top to bottom. It explains how a superior gets work done from his subordinate by clearly explaining what is expected of him and how he should go about it. Authority should be accompanied with an equal amount of responsibility. Delegating the authority to someone else doesn't imply escaping from accountability. Accountability still rest with the person having the utmost authority.

2. **Responsibility** - is the duty of the person to complete the task assigned to him. A person who is given the responsibility should ensure that he accomplishes the tasks assigned to him. If the tasks for which he was held responsible are not completed, then he should not give explanations or excuses. Responsibility without adequate authority leads to discontent and dissatisfaction among the person. Responsibility flows from bottom to top. The middle level and lower level management holds more responsibility. The person held responsible for a job is answerable for it. If he performs the tasks assigned as expected, he is bound for praises. While if he doesn't accomplish tasks assigned as expected, then also he is answerable for that.

3. **Accountability** - means giving explanations for any variance in the actual performance from the expectations set. Accountability cannot be delegated. For example, if 'A' is given a task with sufficient authority, and 'A' delegates this task to B and asks him to ensure that task is done well, responsibility

rest with 'B', but accountability still rest with 'A'. The top level management is most accountable. Being accountable means being innovative as the person will think beyond his scope of job. Accountability, in short, means being answerable for the end result. Accountability can't be escaped. It arises from responsibility.

Relationship between Authority and Responsibility

Authority is the legal right of person or superior to command his subordinates while accountability is the obligation of individual to carry out his duties as per standards of performance Authority flows from the superiors to subordinates, in which orders and instructions are given to subordinates to complete the task. It is only through authority, a manager exercises control. In a way through exercising the control the superior is demanding accountability from subordinates. If the marketing manager directs the sales supervisor for 50 units of sale to be undertaken in a month. If the above standards are not accomplished, it is the marketing manager who will be accountable to the chief executive officer. Therefore, we can say that authority flows from top to bottom and responsibility flows from bottom to top. Accountability is a result of responsibility and responsibility is result of authority. Therefore, for every authority an equal accountability is attached.

Differences between Authority and Responsibility

Authority	Responsibility
It is the legal right of a person or a superior to command his subordinates.	It is the obligation of subordinate to perform the work assigned to him.
Authority is attached to the position of a superior in concern.	Responsibility arises out of superior-subordinate relationship in which subordinate agrees to carry out duty given to him.
Authority can be delegated by a superior to a subordinate	Responsibility cannot be shifted and is absolute
It flows from top to bottom.	It flows from bottom to top.

Barriers to Delegation

Delegation appears to be a simple process, but in practice, many difficulties come in the way of effective delegation.

These difficulties may be grouped into three categories which are discussed below:

1. On the Part of the Superior:

Managerial failure in delegation may result because of the following limitations:

- (i) Resistance – A manager may think that he can do the job better himself and so he will be reluctant to delegate authority. “I can do it better myself” fallacy obstructs delegation of authority. Such executives often oppose the idea of sharing authority with the others.
- (ii) Lack of ability to plan and direct – Lack of ability of the manager to correctly plan and issue suitable instructions in guiding the subordinates, though he is willing to delegate, creates hurdles in the way of effective delegation.
- (iii) Lack of willingness to let go – The desire of dominance over the work of subordinates at each step hampers the delegation. Moreover, a manager may be afraid that if he lets the subordinate make decisions, he may outshine him.
- (iv) Lack of willingness to trust subordinates – Delegation implies a trustful attitude between the superior and the subordinate. Lack of confidence in the capacity, ability and dependability of the subordinate obstructs the superior to delegate authority. Since a manager lacks confidence in the subordinate, he will not delegate authority to give him any chance to make mistakes and learn how to take correct decisions.
- (v) Lack of controls – While delegating authority, the superior must find means of assuring himself that the authority is being used to accomplish the given assignments. Where the manager does not set up adequate controls or has no means of knowing the use of authority, he may hesitate to delegate the authority.

2. On the Part of the Subordinates:

The subordinates may avoid shouldering responsibilities even though there is no fault of the part of the superior.

They may be reluctant to accept authority because of the following reasons:

- (i) Subordinates may lack self-confidence because of incompetence or fear of failure.
- (ii) Subordinates may fear criticism or may have been victims of undue criticism for committing mistakes in the past.
- (iii) Some people prefer to depend upon the boss for decision making.
- (iv) Subordinates may be unwilling to accept delegation where required information and facilities are not available or when effective communication is lacking.
- (v) There may not be sufficient incentives for accepting additional responsibility.
- (vi) Subordinates will not accept delegation when they are already over-worked or when they feel that delegation will merely increase burden on them.

3. On the Part of the Organisation:

The faults contributing to the weakness of delegation in practice may also lie with the organisation.

They may include the following:

- (i) Defective organisation structure and non-clarity of authority responsibility relationships.
- (ii) Inadequate planning.
- (iii) Splintered authority.
- (iv) Infringement of the principle of unity of command.
- (v) Lack of effective control.

Overcoming the Barriers:

Several of the barriers to delegation mostly relate to the behavioural aspects of individuals. Insecurity, aversion to risk, lack of self-confidence, inability to trust- another to perform a task are all different dimensions of human behavior. Among the various barriers, psychological barriers are the most difficult ones to overcome. To overcome many of these barriers, both superiors and subordinates must take a hard look at them, recognize their own fears and try to come out of the inhibitions.

ORGANISATION STRUCTURE

An organization that is well structured achieves effective coordination, as the structure delineates formal communication channels, and describes how separate actions of individuals are linked together.

Organizational structure defines the manner in which the roles, power, authority, and responsibilities are assigned and governed, and depicts how information flows between the different levels of hierarchy in an organization.

The structure an organization designs depends greatly on its objectives and the strategy it adopts in achieving those objectives.

An **organizational chart** is the visual representation of this vertical structure. It is therefore very important for an organization to take utmost care while creating the organizational structure. The structure should clearly determine the reporting relationships and the flow of authority as this will support good communication – resulting in efficient and effective work process flow.

An **organizational structure** is a system that outlines how certain activities are directed in order to achieve the goals of an **organization**. These activities can include rules, roles, and responsibilities. The **organizational structure** also determines how information flows between levels within the company.

The key principle of an organizational structure is how **authority** is passed down and around the company. Understanding what everyone's roles and responsibilities are helps to create **accountability** for individuals, teams and departments.

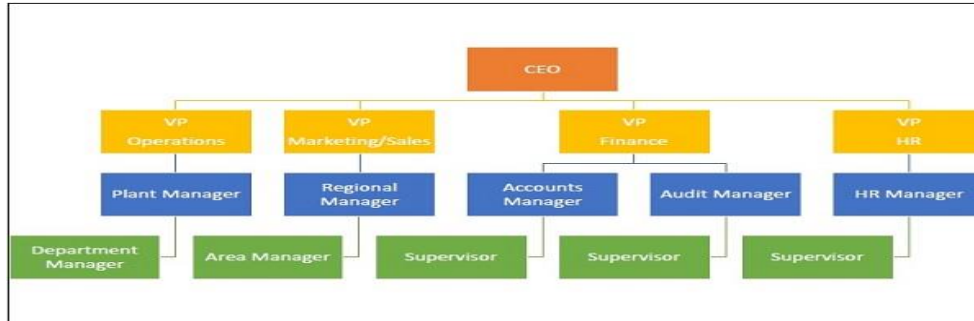
Common Organization Structures

Managements need to seriously consider how they wish to structure the organization. Some of the critical factors that need to be considered are –

- The size of the organization
- Nature of the business
- The objectives and the business strategy to achieve them
- The organization environment

Functional Organization Structure

The functional structure is the most common model found in most organizations. Organizations with such a structure are divided into smaller groups based on specialized functional areas, such as operations, finance, marketing, Human Resources, IT, etc.



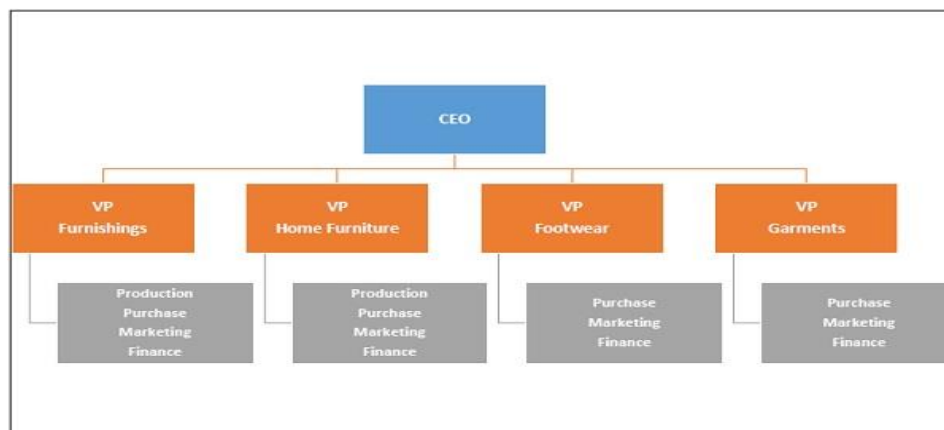
The organization's top management team consists of several functional heads (such as the VP Operations, VP Sales/Marketing). Communication generally occurs within each functional department and is communicated across departments through the department heads.

This structure provides greater operational efficiency as employees are functionally grouped based on expertise and shared functions performed. It allows increased specialization as each group of specialists can operate independently.

In spite of the above benefits there are some issues that arise with this structure. When different functional areas turn into silos they focus only on their area of responsibility and do not support other functional departments. Also expertise is limited to a single functional area allowing limited scope for learning and growth.

Product Organizational Structure

This is another commonly used structure, where organizations are organized by a specific product type. Each product category is considered a separate unit and falls within the reporting structure of an executive who oversees everything related to that particular product line. For example, in a retail business the structure would be grouped according to product lines.

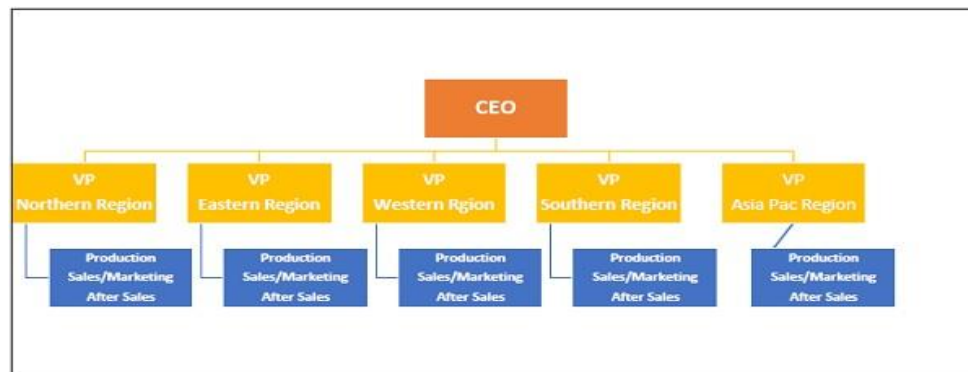


Organization structured by product category facilitates autonomy by creating completely separate processes from other product lines within the organization. It promotes depth of understanding within a particular product area and also promotes innovation. It enables clear focus with accountability for program results.

As with every model, this model also has a few downsides like requirement of strong skills specializing in the particular product. It could lead to functional duplication and potential loss of control; each product group becomes a heterogeneous unit in itself.

Geographic Organizational Structure

Organizations that cover a span of geographic regions structure the company according to the geographic regions they operate in. This is typically found in organizations that go beyond a city or state limit and may have customers all across the country or across the world.

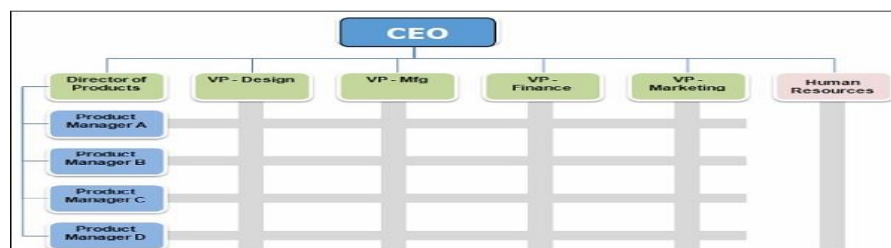


It brings together employees from different functional specialties and allows geographical division. The organization responds more quickly and efficiently to market needs, and focuses efforts solely on the objectives of each business unit, increasing results.

Though this structure increases efficiency within each business unit, it reduces the overall efficiency of the organization, since geographical divisions duplicate both activities and infrastructure. Another main challenge with this model is that it tends to be resource intensive as it is spread across and also leads to duplication of processes and efforts.

Matrix Organizational Structure

A matrix structure is organized to manage multiple dimensions. It provides for reporting levels both horizontally as well as vertically and uses cross-functional teams to contribute to functional expertise. As such employees may belong to a particular functional group but may contribute to a team that supports another program.



This type of structure brings together employees and managers across departments to work toward accomplishing common organizational objectives. It leads to efficient information exchange and flow as departments work closely together and communicate with each other frequently to solve issues.

This structure promotes motivation among employees and encourages a democratic management style where inputs from team members are sought before managers make decisions.

However, the matrix structure often increases the internal complexity in organizations. As reporting is not limited to a single supervisor, employees tend to get confused as to who their direct supervisor is and whose direction to follow. Such dual authority and communication leads to communication gaps, and division among employees and managers.

ORGANIZATION CHARTS

Organization chart is a diagrammatical presentation of relationships in an enterprise. The functions and their relationships, the channels of authority and relative authority of different **managers** etc. are depicted in an **organizational chart**. An **organization chart** is a **managerial** tool. It helps in specifying authority and responsibility of every position. As **organization chart** specifically defines authority and responsibility of people in the enterprise there will be no duplication and overlapping of duties etc.

George Terry defines an organization chart as “a diagrammatical form which shows important aspects of an organization, including the major functions and their respective relationships, the channel of supervision and the relative authority of each employer who is in-charge of each respective function.” So a chart is a pictorial and indicating functions and their relationship, clear lines of authority and responsibility, channels of communication and span of control and supervision.

Org charts help to demonstrate clear reporting structures for all the employees in the **organization**. It creates a road-map for how the work is to be done and the process **required** to ensure this information is shared throughout the company, to the right individuals. Its purpose is to illustrate the reporting relationships and chains of command within the **organization**.

Organization charts can be divided into:

- (i) Master charts and
- (ii) Supplementary charts.

The master chart shows the whole formal organizational structure while supplementary chart shows details of relationships, authority and duties within the prescribed area of a department.

Types of Organization Charts:

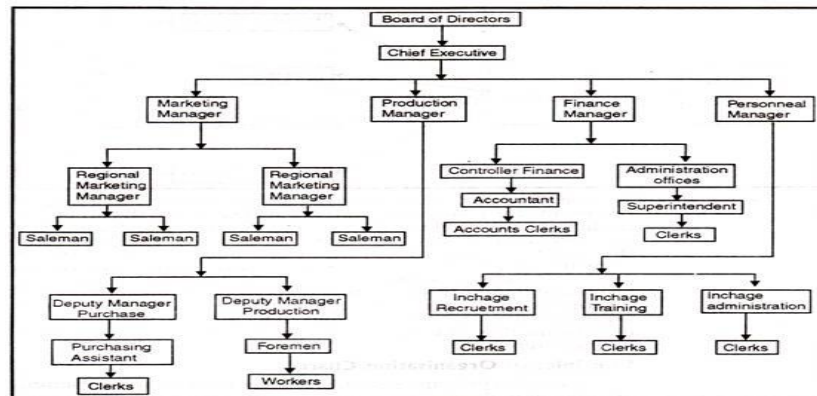
There are three ways in which organization charts can be shown:

- (i) Vertical
- (ii) Horizontal
- (iii) Circular

(i) Vertical or Top to Bottom:

In this chart major functions are shown at the top and subordinate functions in successive lower positions. In this chart scalar levels run horizontally and functions run vertically. The supreme authority is shown at the top while lowest authority at the bottom.

The vertical chart is shown in the following diagram. In this diagram Board of Directors is at the top of the organization. The chief executive controls various functional managers, who in turn have downward staff as the requirement of respective departments.

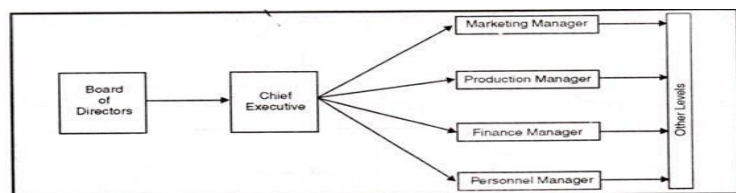


(ii) Horizontal or Left to Right:

In this chart highest positions are put on the left side and those with diminishing authority move towards the right. The organizational levels are represented by vertical columns, the flow of authority from higher to lower levels being represented by movement from left to right. In other words it presents scalar levels in a vertical position and functions horizontally.

The same levels of authority as shown in vertical chart can be depicted in a left to right chart as follows:

In horizontal chart the supreme authority Le. Board of Directors is shown on the left and chief executive and functional managers and other levels move towards right.



(iii) Circular:

In circular chart the centre of the circle represents the position of supreme authority and the functions radiate in all directions from the centre. The higher the positions of authority, the nearer they are to the centre and the lesser the positions of authority, more distant they are from the centre. The positions of relative equal importance are located at the same distance from the centre. The lines forming different blocks of functions or positions indicate the channels of formal authority, the same as in other arrangements. The circular chart depicts the actual condition of outward flow of formal authority from the Chief Executive in many directions.

Principles of Organization Charts:

- (i) The top management should faithfully follow the line of authority while dealing with subordinates. Any attempt to bypass the organization chart will make it meaningless.
- (ii) The chart should define lines of position. The lines of different individuals should be so defined so that there is no overlapping and no two persons should be given the same position.
- (iii) The undue concentration of duty at any point should be avoided.
- (iii) The organization chart should not be influenced by personalities. Balance of organization should be given more importance than the individuals.
- (v) The organization chart should be simple and flexible.

Advantages of Organization Charts:

1. An organization chart is a managerial tool. It helps in specifying authority and responsibility of every position.
The relationships among different persons are also established for smooth working of the organization.
2. As organization chart specifically defines authority and responsibility of people in the enterprise there will be no duplication and overlapping of duties etc. Even if it happens in a particular instance it can be rectified immediately.
3. The organization chart will help in pointing out the faults, deficiencies, dual command etc. in the organization. The management will be able to take prompt remedial action in case of certain lacuna.
4. The organization chart acts as an information centre to the new entrants and they can easily understand different levels of authority and responsibility.
5. The charts are also helpful in decision-making process. They act as a guide to the decision makers.

Limitations of Organization Charts:

1. The organization charts show the relationship of different positions and not the degree of authority and responsibility. The size of boxes or circles in the chart cannot show the level of authority, etc.
2. A chart only depicts formal organizational relationship whereas informal organization is ignored. Practically informal organization is as useful as formal organization. Informal organization greatly helps management in knowing the reactions of the people and is an important channel of communication.
3. A chart shows organizational position and status at different levels. It gives rise to superior-inferior feeling among people and it retards the feeling of team work.

ORGANISATION MANUAL

Organisation manual is a **handbook** maintained in hard cover, in loose-leaf form containing information about policies, operations, rules and regulations, objectives, procedures, departmental details etc.

An **organizational manual** provides and supplements additional details to the information supplied by **organization** chart. It provides information on pertinent matters about each position. It provides uniformity and consistency in the procedures and practices. It also provides **written** record of every important policy, decision and procedure. There will be no confusion about authority and responsibility. There will not be any scope for misunderstanding about anything.

The office manuals **purpose** is to save time, create standard guidelines for everyone, and provide a solid foundation of knowledge. Manuals can be used for policies, organizational means, departments, procedures, or any combination of the above.

Manuals are kept ready for reference by every functional head and his employees so that they do not have to approach their superiors to obtain information for decision-making.

Contents of Organization Manual:

It is particularly important to include all pertinent material related directly to the company organization in the manual, so that managers at all levels can use it as a convenient source of reference.

The manual should contain the following data:

1. Statement of Company Objectives and Policies:

Organization objectives and policies, in particular, should be spelled out. These state, the Company organization aims and specify those management decisions related to organization which are binding on all managers in the Company.

The Company organization objectives may be as follows:

- (a) To arrange functions so that personnel can perform their job most effectively.
- (b) To create an organization which will offer the greatest opportunity for individual development.
- (c) To organize each unit so that the corporation may take full advantage of growth and expansion opportunities.

2. Glossary of Terms:

To establish a common nomenclature for administrative terms used in the manual, it is advisable to establish a glossary of management terms such as Accountability, Executive, Supervise, Work etc.

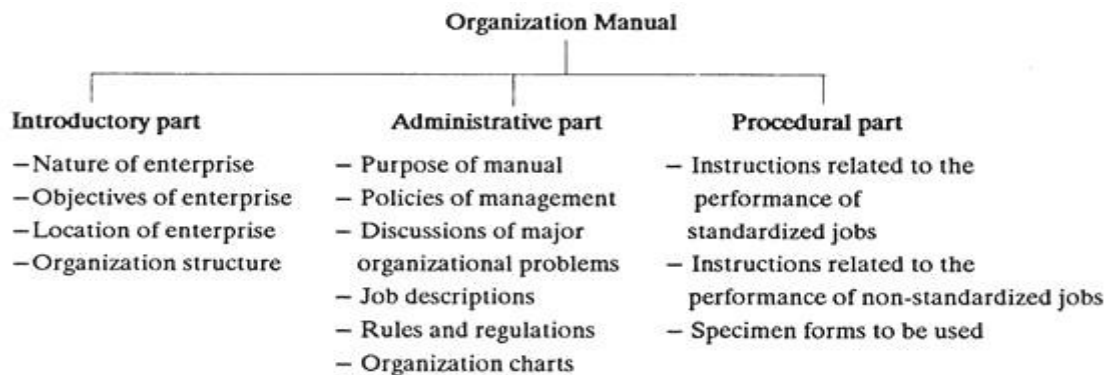
3. Organization Procedures:

What standard methods will the Company require of all managers in organization matters? What organization work must be done the same in all units so that it will fit the pattern of overall company organization activity? Organization procedures prescribe such uniformity. They may be prepared to include such matters as reporting organization changes and similar matters.

Reporting Organization Changes:

If effective organization control is to be maintained, there should be clear channels for reporting organization changes.

In most cases, changes should be approved by the accountable manager but cleared through the organization planning specialized staff.



Types of Organization Manual:

- (i) Policy manual states the policies of the enterprise. It describes the overall limitations within which activities are to take place.
- (ii) Operations manual informs employees of established methods, procedures and standards of doing work.
- (iii) Organization manual explains the duties and responsibilities of various departments and their respective sub-divisions, responsibilities and authorities of different employees, etc.
- (iv) Rules and regulations manual informs about the operating rules and employment regulations such as hours of work, procedure for taking leave etc.
- (v) Departmental practice manual deals in detail with the internal policies, organization and procedures of a particular department.

Advantages of Organization Manual:

- (i) Since it contains rules, regulations and various instructions, it enables the employees to learn the various procedures and practices in short time.
- (ii) Since instructions and policies are clearly stated, it is easy and quick to take decisions.

Drawbacks of Organization Manual:

- (i) Manual preparation is costly and time-consuming.
- (ii) Since rules, regulations etc., are all pre-decided, it leaves little scope for individual's initiative and discretion.

DEPARTMENTATION

Departmentation or Departmentalisation is the process of grouping the activities of an enterprise into several units for the purpose of administration at all levels. It also provides a basis on which the top **managers** can co-ordinate and control the activities of the departmental units.

Departmentation can provide a necessary degree of specialisation of executive activity for efficient performance. It can simplify the tasks of management within a workable span. It also provides a basis on which the top managers can co-ordinate and control the activities of the departmental units.

Departmentation is a part of the organisation process. It involves the grouping of common activities under a single person's control. The activities are grouped on the basis of a function of the organisation. This work is done by a chief executive of the concerned organisation.

Departmentation means the process by which similar activities of the business are grouped into units for the purpose of facilitating smooth administration at all levels. It implies the division of total work of an organisation into individual functions and sub functions. It is the process of division of organisation into different parts known as departments.

According to L. A. Allen – "Departmentation is the means of dividing a large and monolithic functional organisation into smaller, flexible, administrative units."

Need for and Importance of Departmentation:

The basic need for departmentation is to make the size of each departmental unit manageable and secure the advantages of specialisation. Grouping of activities and, consequently, of personnel, into departments makes it possible to expand an enterprise to any extent.

Departmentation is necessary on account of the following reasons:

1. Advantages of Specialisation:

Departmentation enables an enterprise to avail of the benefits of specialisation. When every department looks after one major function, the enterprise is developed and efficiency of operations is increased.

2. Feeling of Autonomy:

Normally departments are created in the enterprise with certain degree of autonomy and freedom. The manager in charge of a department can take independent decisions within the overall framework of the organisation. The feeling of autonomy provides job satisfaction and motivation which lead to higher efficiency of operations.

3. Expansion:

One manager can supervise and direct only a few subordinates. Grouping of activities and personnel into departmentation makes it possible for the enterprise to expand and grow.

4. Fixation of Responsibility:

Departmentation enables each person to know the specific role he is to play in the total organisation. The responsibility for results can be defined more clearly, precisely and accurately and an individual can be held accountable for the performance of his responsibility.

5. Upliftment of Managerial Skill:

Departmentation helps in the development of managerial skill. Development is possible due to two factors. Firstly, the managers focus their attention on some specific problems which provide them effective on-the-job training. Secondly, managerial need for further training can be identified easily because the managers' role is prescribed and training can provide them opportunity to work better in their area of specialisation.

6. Facility in Appraisal:

Appraisal of managerial performance becomes easier when specific tasks are assigned to departmental personnel. Managerial performance can be measured when the areas of activities are specified and the standards of performance are fixed. Departmentation provides help in both these areas.

When a broader function is divided into small segments and a particular segment is assigned to each manager, the area to be appraised is clearly known; and the factors affecting the performance can be pointed out more easily. Similarly, the standards for performance can be fixed easily because the factors influencing the work performance can be known clearly. Thus, performance appraisal becomes more effective.

7. Administrative Control:

Departmentation is a means of dividing the large and complex organisation into small administrative units. Grouping of activities and personnel into manageable units facilitates administrative control. Standards of performance for each and every department can be precisely determined.

Types of Departmentation:

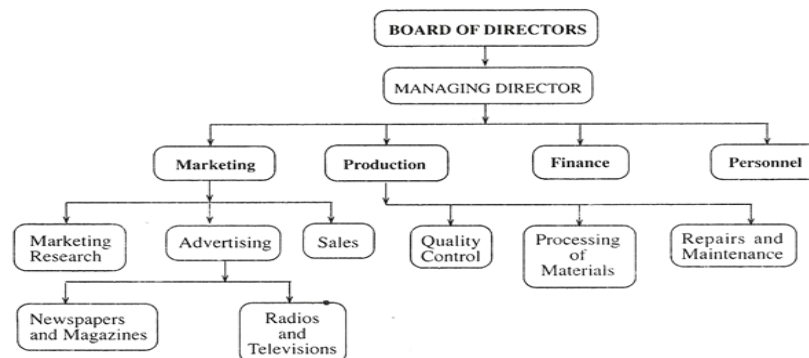
There are several bases of Departmentation. The more commonly used bases are—function, product, territory, process, customer, time etc.

These are explained below:

(A) Departmentation by Functions:

The enterprise may be divided into departments on the basis of functions like production, purchasing, sales, financing, personnel etc. This is the most popular basis of departmentation. If necessary, a major function may be divided into sub-functions. For example, the activities in the production department may be classified into quality control, processing of materials, and repairs and maintenance.

The organisation chart of functional departmentation may take the following form:



Advantages:

The advantages of functional departmentation include the following:

- (a) It is the most logical and natural form of departmentation.
- (b) It ensures the performance of all activities necessary for achieving the organisational objectives.
- (c) It provides occupational specialisation which makes optimum utilization of man-power.
- (d) It facilitates delegation of authority.
- (e) It enables the top managers to exercise effective control over a limited number of functions.
- (f) It eliminates duplication of activities.
- (g) It simplifies training because the managers are to be experts only in a narrow range of skills.

Disadvantages:

There are some problems associated with functional departmentation. These are mentioned below:

- (a) There may be conflicts between departments.
- (b) The scope for management development is limited. Functional managers do not get training for top management positions. The responsibility for results cannot be fixed on any one functional head.
- (c) There is too much emphasis on specialisation.
- (d) There may be difficulties in coordinating the activities of different departments.
- (e) There may be inflexibility and complexity of operations.

(B) Departmentation by Products:

In product departmentation, every major product is organised as a separate department. Each department looks after the production, sales and financing of one product. Product departmentation is

useful when the expansion, diversification, manufacturing and marketing characteristics of each product are primarily significant.

It is generally used when the production line is complex and diverse requiring specialised knowledge and huge capital is required for plant, equipment and other facilities such as in automobile and electronic industries.

In fact, many large companies are diversifying in different fields and they prefer product departmentation. For example, a big company with a diversified product line may have three product divisions, one each for plastics, chemicals, and metals. Each division may be sub-divided into production, sales, financing, and personnel activities.

The organisation chart of product departmentation may take the following form:



Advantages:

Product departmentation provides several advantages which may be stated as follows:

- (a) Product departmentation focuses individual attention to each product line which facilitates the expansion and diversification of the products.
- (b) It ensures full use of specialised production facilities. Personal skill and specialised knowledge of the production managers can be fully utilised.
- (c) The production managers can be held accountable for the profitability of each product. Each product division is semi-autonomous and contains different functions. So, product departmentation provides an excellent training facility for the top managers.
- (d) The performance of each product division and its contribution to total results can be easily evaluated.
- (e) It is more flexible and adaptable to change.

Disadvantages:

Product departmentation presents some problems as follows:

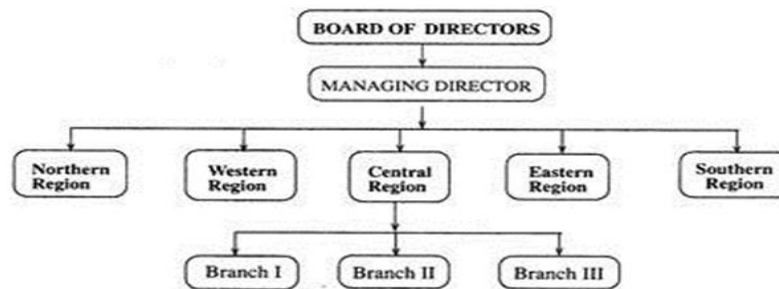
- (a) It creates the problem of effective control over the product divisions by the top managers.
- (b) Each production manager asserts his autonomy disregarding the interests of the organisation.
- (c) The advantages of centralisation of certain activities like financing, and accounting are not available.
- (d) There is duplication of physical facilities and functions. Each product division maintains its own specialised personnel due to which operating costs may be high.
- (e) There may be under-utilisation of plant capacity when the demand for a particular product is not adequate.

(C) Departmentation by Territory:

Territorial or geographical departmentation is specially useful to large-scale enterprises whose activities are widely dispersed. Banks, insurance companies, transport companies, distribution agencies etc. are some examples of such enterprises, where all the activities of a given area of operations are grouped into zones, branches, divisions etc.

It is obviously not possible for one functional manager to manage efficiently such widely spread activities. This makes it necessary to appoint regional managers for different regions.

The organisation chart of territorial departmentation may take the following form:



Advantages:

Territorial departmentation offers certain facilities in operation. These are pointed out below:

- (a) Every regional manager can specialise himself in the peculiar problems of his region.
- (b) It facilitates the expansion of business to various regions.
- (c) It helps in achieving the benefits of local operations. The local managers are more familiar with the local customs, preferences, styles, fashion, etc. The enterprise can gain intimate knowledge of the conditions in the local markets.
- (d) It results in savings in freight, rents, and labour costs. It also saves time.
- (e) There is better co-ordination of activities in a locality through setting up regional divisions.
- (f) It provides adequate autonomy to each regional manager and opportunity to train him as he looks after the entire operation of a unit.

Disadvantages:

Territorial departmentation have the following problems:

- (a) There is the problem of communication.
- (b) It requires more managers with general managerial abilities. Such managers may not be always available.
- (c) There may be conflict between the regional managers.
- (d) Co-ordination and control of different branches from the head office become less effective.
- (e) Owing to duplication of physical facilities, costs of operation are usually high.
- (f) There is multiplication of personnel, accounting and other services at the regional level.

(D) Departmentation by Customers:

In such method of departmentation, the activities are grouped according to the type of customers. For example, a large cloth store may be divided into wholesale, retail, and export divisions. This type of departmentation is useful for the enterprises which sell a product or service to a number of clearly defined customer groups. For instance, a large readymade garment store may have a separate

department each for men, women, and children. A bank may have separate loan departments for large-scale and small-scale businessmen.

The organisation chart of customer-oriented departmentation may appear as follows:



Advantages:

The important advantages of customer departmentation are the following:

- (a) Special attention can be given to the particular tastes and preferences of each type of customer.
- (b) Different types of customers can be satisfied, easily through specialised staff. Customers' satisfaction enhances the goodwill and sale of the enterprise.
- (c) The benefits of specialisation can be gained.
- (d) The enterprise may acquire intimate knowledge of the needs of each category of customers.

Disadvantages:

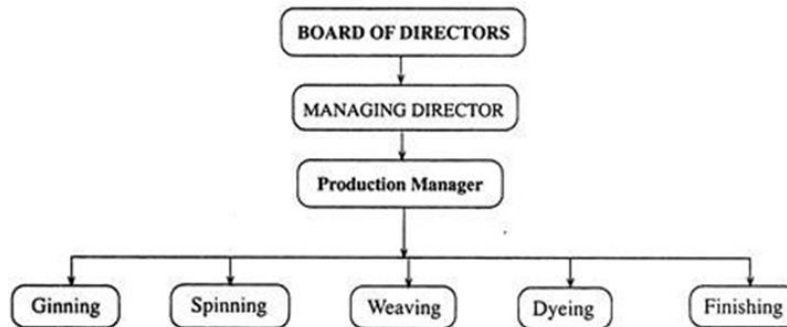
This method of departmentation may have certain disadvantages, specially when it is followed very rigidly. These are as follows:

- (a) Co-ordination between sales and other functions becomes difficult because this method can be followed only in marketing division.
- (b) There may be under-utilisation of facilities and manpower in some departments, particularly during the period of low demand.
- (c) It may lead to duplication of activities and heavy overheads,
- (d) The managers of customer departments may put pressures for special benefits and facilities.

(E) Departmentation by Process or Equipment:

In such type of departmentation the activities are grouped on the basis of production processes involved or equipment used. This is generally used in manufacturing and distribution enterprises and at lower levels of organisation. For instance, a textile mill may be organised into ginning, spinning, weaving, dyeing and finishing departments. Similarly, a printing press may have composing, proof reading, printing and binding departments. Such departmentation may also be employed in engineering and oil industries.

The organisation chart of process or equipment departmentation may appear as follows:

**Advantages:**

The basic object of such departmentation is to achieve efficiency and economy of operations. The processes are set in such a way that a series of operations is feasible making operations economic. Efficiency can be achieved if departments are created for each process as each one has its peculiarities. It provides the advantages of specialisation required at each level of the total processes. The maintenance of plant can be done in better way and manpower can be utilised effectively.

Disadvantages:

In such departmentation, there may be difficulty in coordinating the different process-departments, because the work of each process depends fully on the preceding process. So, there are chances of conflicts among the managers looking after the different processes. It cannot be used where manufacturing activity does not involve distinct processes.

(F) Departmentation by Time and Numbers:

Under this method of departmentation the activities are grouped on the basis of the time of their performance. For instance, a factory operating 24 hours may have three departments for three shifts—one for the morning, the second for the day, and the third for the night.

In the case of departmentation by numbers, the activities are grouped on the basis of their performance by a certain number of persons. For instance, in the army, the soldiers are grouped into squads, companies, battalions, regiments and brigades on the basis of the number prescribed for each unit.

Such type of departmentation is useful where the work is repetitive, manpower is an important factor, group efforts are more significant than individual efforts, and group performance can be measured. It is used at the lowest level of organisation.

Factors to be Considered in Departmentation:

A suitable basis of departmentation is one which facilitates the performance of organisational functions efficiently and effectively so that the objectives of the organisation are achieved. Since each basis is suitable to a particular type of organisation, often a combination of various basis is adopted.

So, the determination of suitability of departmentation basis should be considered in the light of various principles or factors affecting the functioning of an organisation.

These factors or principles are described below:

1. Specialisation:

The activities of an organisation should be grouped in such a way that it leads to specialisation of work. Specialisation helps to improve efficiency and ensure economy of operations. It enables the personnel to become experts.

2. Co-ordination:

Quite different activities may be grouped together under one executive because they need to be co-ordinated. So, the basis of departmentation should ensure that the dissimilar activities are put together in one department.

3. Control:

Departmentation should be such that it facilitates the measurement of performance and adoption of timely corrective action. It should enable the managers to hold the employees accountable for results. Effective control helps to achieve organisational objectives economically and efficiently.

4. Proper Attention:

All the activities which contribute to the achievement of subordinate results should be given adequate attention. This will ensure that all necessary activities are performed and there is no unnecessary duplication of activities. Key areas should be given special attention.

5. Economy:

Creation of departments involves extra cost of additional space, equipment and personnel. So, the pattern and number of departments should be so decided that maximum possible economy is achieved in the utilisation of physical facilities and personnel.

6. Local Condition:

While forming departments adequate attention to the local conditions should be given. This is more important to the organisation which operates in different geographical areas. Departmentation should be adjusted according to the available resources. It should aim at full utilisation of resources.

7. Human Consideration:

Departmentation should also consider the human aspect in the organisation. So, along with the technical factors discussed above, departments should be created on the basis of availability of personnel, their attitude, aspiration and value systems, informal work groups, cultural patterns, etc. Due attention to the human factors will make departmentation more effective and more efficient.

CENTRALIZATION

Centralization refers to the process in which activities involving planning and decision-making within an organization. In a centralized organization, the decision-making powers are retained in the head office, and all other offices receive commands from the main office.

Centralization refers to that organizational structure where decision-making power is confined to the top management, and the subordinates need to follow the instructions of their seniors. Centralization of authority is essential for the small-scale organizations which lack resources and finance.

Centralization is said to be a process where the concentration of decision making is in a few hands. All the important decision and actions at the lower level, all subjects and actions at the lower level are subject to the approval of top management.

According to Allen, "Centralization" is the systematic and consistent reservation of authority at central points in the organization.

Centralization allows on the one hand an unified decision “from the center” on the other hand, limits the autonomy of organizational units and may reduce flexibility of the decision. **Centralization** may concern all decisions and powers, or may be centralized only selected **managerial** functions.

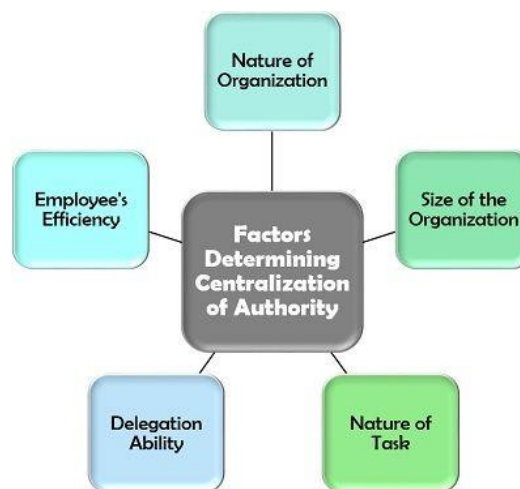
When an organization follows a centralized management structure, it can focus on the fulfillment of its vision with ease. There are clear lines of communication and the senior executive can communicate the organization's vision to employees and guide them toward the achievement of the vision.

In a **centralized** organization, decisions are made by a small group of people and then communicated to the lower-level managers. If lower-level managers are involved in the decision-making process, the process will take longer and conflicts will arise.

Factors Determining Centralization of Authority

In small organizations, the owner or the top management is responsible for making all the business decision solely. Whereas, the delegation of work among the subordinates takes place; therefore, centralization persists in these business units.

The following factors result in the centralization of the organization:



- **Nature of Organization:** When the organization is generally a sole proprietorship or partnership entity with less number of employees to be managed, it can have a centralized system.
- **Size of the Organization:** The organization which are small in size and operating on a small scale can be efficiently managed by the top management hence following a centralized system.
- **Nature of Task:** The organizations engaged in business operations which does not require much expertise or specialization, can be managed through centralization.
- **Delegation Ability:** The capability of the management to delegate the responsibilities to the subordinates while keeping the charge in their hand is another factor determining the organizational structure.

- **Employee's Efficiency:** If the employees lack skills and efficiency to take up the responsibility and accountability of the work to be performed, the management will go for centralization of the organization.

Advantages of Centralization

Centralization and decentralization are equally crucial for a business. The reasons for which some organizations mainly centralizes its structure are as follows:



Cost Efficient: The management need not spend much on the office and administrative expenses in a centralized organization. Even the cost of hiring experts and highly experienced personnel at each level is saved due to the centralized decision-making process.

Better Command: The management can hold a better command over the subordinates and the subordinates also clearly know whom to follow. There is proper control over the subordinate actions, and the management is well aware of the strengths and weaknesses of the subordinates.

Enhances Work Quality: The subordinates are answerable directly to the top management, and therefore they continuously aim at improving the work quality. It also leads to standardization of the process and reduces the wastage.

Uniformity in Action: When the control lies in the hands of few, the methods and techniques used are usually the same throughout all the levels and departments, thus encouraging the subordinates to perform uniformly.

Focus on Vision: The top management clearly defines and better understand the organizational vision. Therefore, it aligns all the resources, subordinates, activities and strategies towards the achievement of the vision.

Proper Coordination: The top management frames a uniform policy for subordinates at different levels, integrate their course of action and ensures coordination among all the subordinates.

Disadvantages of Centralization

Centralization is not suitable for all type of business organizations.

Slows Down Operations: The top management directs the day to day operations, and the subordinates have to report directly to the senior management. At times when there is no managerial staff, the subordinates are unable to take immediate decisions. Thus, resulting in slowing down of business operations.



Delays Decision Making: In centralization, the decision-making process slows down since all the decisions are to be taken by the top management. It is not suitable for handling emergencies or unexpected circumstances.

Reduces Scope for Specialization: A person cannot specialize in all the activities alone. Therefore, in a centralized structure where all decisions are taken by the top management, the organization lacks specialized supervision and management.

Discourages Initiative: The subordinates are given instructions which they need to follow without questioning the decisions of the top management. In centralization, the subordinates are intimidated from giving their input or suggestions.

Lacks Adaptability to Change: The centralized organization runs in a conventional manner where the top management is somewhat rigid with its policies, methods and techniques. Thus, it creates a barrier to adopting modern and improved practices for organizational growth.

Overburden on Top Management: All the planning and decision-making work is done at the topmost level of management, they control even the day to day operations. Due to this reason, management becomes overburdened and is unable to concentrate on business expansion and growth.

Bureaucratic Leadership: Centralization can be seen as a dictatorship by some, where the top management plans every course of action and the subordinates follow the instructions. Problem-solving becomes quite difficult in such circumstances since the decision-maker, and the implementer is two different individuals.

Poor Upward Communication: The subordinates are supposed to follow instructions while the least attention is paid towards their suggestions and feedback. All this hinders the upward communication in the organization.

DECENTRALIZATION

Decentralization refers to a specific form of organizational structure where the top **management** delegates decision-making responsibilities and daily operations to middle and lower subordinates. The top **management** can thus concentrate on taking major decisions with greater time abundance.

In a **decentralized** organization, lower level managers are given decision-making authority and the power to run their own departments. **Decentralization** include better, more timely decisions and increased motivation.

Decentralisation implies the dispersal of **decision**-making power at lower levels of management. When the power to take decisions and formulate policies does not lie with one person at the top but is passed on to different persons at various levels, it will be a case of decentralisation.

The following are the **main objectives** which a **decentralized** system of organization seeks to achieve: To relieve the burden of work on the chief executive. To develop the managerial faculties. To motivate the lower level of workers.

Decentralisation is referred to as a form of an organisational structure where there is the delegation of authority by the top management to the middle and lower levels of management in an organisation.

In this type of organisation structure, the duty of daily operations and minor decision-making capabilities are transferred to the middle and lower levels which allow top-level management to focus more on major decisions like business expansion, diversification etc.

Delegation refers to the assigning a portion of work and the associated responsibility by a superior to a subordinate. In simple words, when delegation is expanded on an organisational level, it is called decentralisation.

“Decentralisation refers to tire systematic effort to delegate to the lowest levels all authority except that which can only be exercised at central points.” —Louis A. Allen

“Decentralisation means the division of a group of functions and activities into relatively autonomous units with overall authority and responsibility for their operation delegate to time of cacti unit.’ —Earl. P. Strong

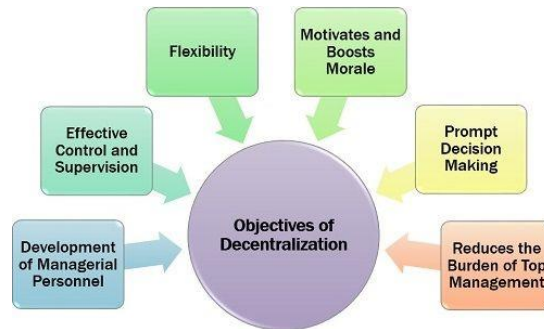
Importance of Decentralisation

1. **Rapid decision making** – Most of the decisions are taken on the spot, and approval from the higher authority is not required. The ability to make a prompt decision allows an organisation to function its operation quickly and effectively.
2. **Administrative development** – The decentralisation process questions the manager’s judgement and techniques, when responsibility and challenges to develop solutions are given to them. This questioning method grows confidence, encourages self-reliance, and make them a good decision-maker resulting in the development of the organisation.
3. **Development of executive skills** – It allows the employee to perform task individually, giving them invaluable exposure. This individual performance creates an environment where an individual can enhance their expertise, take ownership & more significant responsibilities, and be suitable for promotion.
4. **Promotes growth** – Decentralisation also allows the heads of the department to work independently. This independence helps the department to grow, have a healthy competition between other departments. Ultimately, the competition will lead to an improvement and enhancement in productivity.
5. **Higher control** – It also evaluates and reviews the performances of each department and gives them a comprehensive perspective of their work. However, controlling is the biggest challenge of decentralisation and stabilised management and scorecard are being developed.

Objectives of Decentralization

Decentralization is an important strategical decision. It changes the whole organizational structure right from the top management to the bottom level. Like other business strategies, decentralization is also purposeful.

Let us understand the various objectives for which organizations decentralize their operations :



Development of Managerial Personnel

Decentralization provides for self-learning of the managers by facing the problem, finding the solutions themselves and taking the correct decisions. It adds on to the skills, experience and expertise of the managers in their respective departments.

Effective Control and Supervision

The managers exercise better control over the operations of the subordinates by taking disciplinary actions. They can make decisions related to production schedules, promotions and leaves taken by the subordinates.

Flexibility

Decentralization leads to flexibility in business operations. It also provides authority to the managers to handle unexpected situations independently. It allows them to manage their respective departments in the way they want to.

Motivates and Boosts Morale

It creates self-dependant managers and drives them to enhance their performance, take the initiative and develop a problem-solving attitude. Decision making also boosts their morale and confidence.

Prompt Decision Making

There are times when the managers have to take immediate and unplanned decisions at operational levels; it is only possible in decentralized organizations.

On the contrary, in a centralized organization, the decision-making process is quite lengthy and complicated, which is ineffective for handling unforeseen operational problems and issues.

Reduces the Burden of Top Management

The management has to take certain crucial strategical decisions which require a lot of analysis and planning. Decentralization releases the management from operational decision making, facilitating them to engage themselves in future strategic planning.

Advantages of Decentralisation

1. Reduces the burden on top executives
2. Facilitates diversification
3. Executive Development

4. It promotes motivation
5. Better control and supervision

Disadvantages of Decentralisation

1. Uniform policies not Followed
2. Problem of Co-Ordination